

Oakwood Learning Studio

5-Year Financial Model

Prepared May 14, 2026

Built from assumptions

Ready to share — keep polishing the narrative.

This model demonstrates strong financial fundamentals: a clear path to profit, controlled costs, a sustainable revenue mix, and adequate debt coverage. Your projections are grounded and achievable.

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This packet is generated from the school's financial model and is intended for lender review.
All projections are based on assumptions entered by the school founder.

Lender Commentary

Oakwood Learning Studio is a microschool, based in AZ. Oakwood Learning Studio projects enrollment of 20 students in Year 1, growing to 40 by Year 5 against a stated capacity of 45 seats. Based on the canonical financial engine that powers this packet, the model reads as: Ready to share - keep polishing the narrative. This model demonstrates strong financial fundamentals: a clear path to profit, controlled costs, a sustainable revenue mix, and adequate debt coverage. Your projections are grounded and achievable.

On the normalized base case (founder compensation marked to market), Year 1 debt service coverage is 3.11x. Operating cash runway extends 1 months from the open before additional capital would be required, with the tightest position at \$34,397 of ending cash in Year 1. The model crosses operating break-even in Year 1, and Year 1 requires 17 students to cover fixed costs and debt service (38% of stated capacity).

Year 1 revenue mix is 86% contracted, 3% projected enrollment-driven, 0% policy-dependent, and 12% donor-dependent. The top 3 risks surfaced are: Let's extend your cash runway (critical). Mitigant: Build a cash buffer through startup fundraising, a line of credit, or by reducing early expenses. Target at least 18 months of runway before opening.; Let's back the enrollment ramp with evidence (medium). Mitigant: Back every enrollment target with documented demand - signed letters of intent, waitlist depth, community survey results, or recruitment pipeline data. Growth over 25% per year typically requires an exceptional recruitment engine or facility expansion.; Let's tie new hires to enrollment milestones (medium). Mitigant: Align staffing additions to enrollment milestones. Hire when students are enrolled, not when you hope they will be. Use part-time or contract roles to bridge gaps..

Founder compensation has been normalized to market for underwriting. Across the modeled period the founder is drawing \$67,895 below a market salary for the role. On a planned-comp basis the Year 1 DSCR would read 5.86x; on the normalized basis it lands at 3.11x, which is the figure used throughout this packet. The lender-primary view in this packet underwrites the school at the market cost of running it, not the founder's voluntary discount.

Under the toughest stress in the lender battery (Enrollment -20%), minimum DSCR holds at -0.06x and minimum ending cash at \$5,200. Strong Year 5 profit The full risk and recommendation set follows in the body of the packet.

Every figure in this commentary is sourced from the same canonical engine that powers the rest of this packet.

Executive Summary

Oakwood Learning Studio projects \$400,145 in Year 5 revenue with a 37.6% profit margin. The model tells a strong financial story with 8 of 13 key metrics in healthy range, a great foundation for your mission.

- [] Lender Readiness: Strong
- [] Biggest Strength: Strong Year 5 profit
- [] Biggest Risk: No major red flags detected, so continue refining assumptions as you gather real data.
- [] Cash Runway: 1 months

Budget Narrative

Oakwood Learning Studio projects \$400,145 in Year 5 revenue with a 37.6% profit margin. The model tells a strong financial story with 8 of 13 key metrics in healthy range, a great foundation for your mission.

Flagged Assumptions

[Info] 20 students (44% of 45 capacity)

Assumptions Confidence

PROJECTED **Needs Support** 0% weighted evidence · 0 of 22 tagged
This does not mean your plan is weak. It means this part needs more clarity.

Each major assumption below is tagged by the founder with the source they leaned on. Higher-confidence sources (actuals, signed agreements, written quotes) are stronger evidence than research benchmarks or estimates.

0 of 22 assumptions tagged yet — the founder has not anchored any inputs to evidence. Posture defaults to "Needs Support" until at least some keys are tagged.

School Overview

Oakwood Learning Studio is a Startup / Pre-Opening Microschool organized as a LLC (Single Member) with a Tuition-Based funding profile.

Supporting Assumptions

School Stage **Startup / Pre-Opening**
School Type **Microschool**
Funding Profile **Tuition-Based**
Entity Type **LLC (Single Member)**
State **AZ**
Opening Year **2026**

Enrollment Plan

Enrollment starts at 20 students in Year 1 and grows to 40 by Year 5 (100% growth).

Enrollment by Year

Year	Students
Year 1	20
Year 2	26
Year 3	32
Year 4	37
Year 5	40

Supporting Assumptions

Year 1 Enrollment **20**
Year 2 Enrollment **26**
Year 3 Enrollment **32**
Year 4 Enrollment **37**
Year 5 Enrollment **40**

Revenue Model

The revenue model is tuition-driven (88.6% of Year 1 revenue). Year 1 total revenue is projected at \$199K, growing to \$421K by Year 5.

- [] Tuition %: 88.6%
- [] Public Funding %: 0.0%
- [] Philanthropy %: 11.6%
- [] Year 1 Contracted Revenue %: 85.9%
- [] Hard Revenue Coverage (Y1): 1.20×

Revenue by Year

Year	Total Revenue
Year 1	\$199K
Year 2	\$258K
Year 3	\$322K
Year 4	\$380K
Year 5	\$421K

Revenue Quality (Contracted vs. Projected vs. Donor / Policy Dependent)

Bucket	Year 2	Year 3	Year 4	Year 5	Year 6
Contracted	\$143K (85.9%)	\$228K (90.7%)	\$290K (94.2%)	\$348K (96.3%)	\$388K (96.8%)
Policy-Dependent	\$0 (0.0%)	\$0 (0.0%)	\$0 (0.0%)	\$0 (0.0%)	\$0 (0.0%)
Projected	\$4K (2.5%)	\$7K (2.6%)	\$8K (2.6%)	\$9K (2.6%)	\$10K (2.5%)
Donor-Dependent	\$19K (11.6%)	\$17K (6.8%)	\$10K (3.2%)	\$4K (1.1%)	\$3K (0.7%)
Hard revenue coverage of fixed + debt	1.20×	1.15×	1.42×	1.65×	1.79×

Revenue Lines (Year 1)

Line Item	Year 1
Private Pay / Tuition	\$200K
Registration / Enrollment Fees	\$5K
Scholarships / Financial Aid / Discount Rate	\$8
Donations / Fundraising	\$8K
Startup Grant (Foundation)	\$15K

Supporting Assumptions

Tuition Collection Method **Autopay**
Tuition Collection Rate **100.0%**
Private Pay / Tuition **\$200K**
Registration / Enrollment Fees **\$5K**

Scholarships / Financial Aid / Discount Rate **\$8**
Donations / Fundraising **\$8K**
Startup Grant (Foundation) **\$15K**

Staffing Plan

Staffing costs are \$86K in Year 1, representing 43.3% of revenue. This leaves healthy room for other operating costs. Founder compensation is normalized to market rate for the lender / board view. The 5-year normalization adjustment increases fully-loaded staffing cost by +\$67,895 (salary + benefits + payroll tax). Year-1 DSCR moves from 5.86x to 3.11x and cash runway moves from 60.0 to 60.0 months when normalized. DSCR, runway, and net income figures elsewhere in this packet reflect the normalized view; the founder dashboard reflects the as-planned view.

Suggested founder compensation steps up year over year as projected enrollment crosses NAIS / NACSA size bands (escalated by COLA from Y1). Source: U.S. Bureau of Labor Statistics, Occupational Employment & Wage Statistics, May 2023. Education Administrators, Kindergarten through Secondary (11-9032), national median annual wage..

[+] Staffing % of Revenue: 52.0%

Suggested Founder Compensation Benchmark by Year

Year	Projected Enrollment	Size Band	Suggested Market Rate
Year 1	20	Under 150 students	\$70,000
Year 2	26	Under 150 students	\$72,000
Year 3	32	Under 150 students	\$74,000
Year 4	37	Under 150 students	\$76,000
Year 5	40	Under 150 students	\$79,000

Founder Compensation Normalization			
Year	As Planned (Reported)	Market Rate (Normalized)	Loaded Adjustment
Year 1	\$58,000	\$70,000	\$12,918
Year 2	\$59,740	\$72,000	\$13,198
Year 3	\$61,532	\$74,000	\$13,422
Year 4	\$63,378	\$76,000	\$13,588
Year 5	\$65,280	\$79,000	\$14,770
Total adjustment (Y1–Y5)	—	—	\$67,895

As-Planned vs Normalized: Net Income & DSCR

Year	Net Income (Reported)	Net Income (Normalized)	DSCR (Reported)	DSCR (Normalized)
Year 1	\$22,826	\$9,908	5.86x	3.11x
Year 2	\$27,563	\$14,365	6.87x	4.06x
Year 3	\$75,862	\$62,440	17.16x	14.30x
Year 4	\$120,148	\$106,560	26.59x	23.69x
Year 5	\$152,096	\$137,327	33.39x	30.24x

As-Planned vs Normalized: Cash Runway

View	Cash Runway (months)	Reserve (months)
As Planned (Reported)	60.0	19.2
Lender View (Normalized)	60.0	15.0

Supporting Assumptions

Founder / Lead Teacher **\$58,000, 1 FTE**
 Assistant Teacher **\$38,000, 1 FTE**
 Part-Time Aide **\$24,000, 0.5 FTE**

Expense Summary

Total expenses grow from \$152K in Year 1 to \$249K by Year 5.

Expenses by Year

Year	Staffing	Operating	Debt Service	Total
Year 1	\$86K	\$61K	\$5K	\$152K
Year 2	\$160K	\$59K	\$5K	\$224K
Year 3	\$164K	\$63K	\$5K	\$232K
Year 4	\$169K	\$67K	\$5K	\$241K
Year 5	\$174K	\$70K	\$5K	\$249K

Capital & Debt

The model includes 1 debt instrument totaling \$20K.

Supporting Assumptions

SchoolStack Lending Lab Microloan **\$20K at 6.5% for 5 years**

5-Year Financial Projection

The model reaches break-even in Year 1. Year 5 net income is projected at \$171K (40.8% margin).

• Breakeven enrollment

Breakeven enrollment is 15 students (33% above Year 1 enrollment).

• Accounting basis

All projections are prepared on an accrual basis; the school currently keeps books on a undetermined basis.

- [~] Revenue per Student (Year 1): \$8,282 (benchmark: Private avg: \$12,000–\$25,000)
- [~] Cost per Student (Year 1): \$7,162 (benchmark: Target: "d 85% of revenue per student)
- [+] Staffing Cost (% of Revenue): 52.0% (benchmark: Industry avg: 50–65% of revenue)
- [~] Operating Cost (% of Revenue): 34.2% (benchmark: Target: under 30% of revenue)
- [+] Profit margin (Year 1): 13.5% (benchmark: Startup target: 0–5%; mature: 10%+)
- [+] Profit margin (Year 5): 37.6% (benchmark: Target: 10–15%+)
- [+] 5-Year Revenue Growth: 141.6% (benchmark: Healthy schools: 30–80% over 5 years)
- [+] Capacity Utilization (Year 5): 88.9% (benchmark: Optimal: 80–95% utilization)

5-Year Net Income Projection

Year	Students	Revenue	Expenses	Net Income	Margin
Year 1	20	\$199K	\$152K	\$48K	23.9%
Year 2	26	\$258K	\$224K	\$34K	13.3%
Year 3	32	\$322K	\$232K	\$89K	27.8%
Year 4	37	\$380K	\$241K	\$139K	36.6%
Year 5	40	\$421K	\$249K	\$171K	40.8%

Opening Balance Sheet

Net position at model start: \$15K.

- [] Total Assets: \$15K
- [] Total Liabilities: \$0
- [] Net Position: \$15K

Assets

Item	Amount
Cash & Equivalents	\$12K
Accounts Receivable	\$0
Fixed Assets	\$3K
Other Assets	\$0
Total Assets	\$15K

Liabilities

Item	Amount
Accounts Payable	\$0
Current Debt Portion	\$0
Long-Term Debt	\$0
Total Liabilities	\$0

Facility & Key Performance Indicators

Breakeven enrollment is 15 students. Year 1 projects 20 students, providing a 33.3% cushion.

[] Breakeven Enrollment: 15

[] Facility Cost/Student: \$2K

Key Performance Indicators

Metric	Value
Facility Cost / Student	\$2K
Renewal Option	No
Breakeven Enrollment	15 students
Enrollment Cushion	+33.3%

Cash Flow Analysis

Cash goes negative in month 1. The school will need additional funding or cost adjustments. Opening balance: \$15K total assets, \$0 total liabilities, \$15K net position. Lowest cash month across the 5-year forecast: Year 1 — Jul at \$5K.

[] Cash Runway: 1 months

[] Lowest Cash Month: Year 1 — Jul (\$5K)

Cumulative Cash Position

Year	Cumulative Net Income	Reserve Months
Year 1	\$22K	1.9 months
Year 2	\$49K	2.6 months
Year 3	\$124K	6.4 months
Year 4	\$243K	12.1 months
Year 5	\$394K	18.9 months

Year 1 Monthly Cash Flow Summary

Month	Beginning	Inflows	Outflows	Net Cash Flow	Ending
Jul	\$12K	\$8K	(\$15K)	\$-7K	\$5K
Aug	\$5K	\$19K	(\$15K)	\$4K	\$9K
Sep	\$9K	\$19K	(\$15K)	\$4K	\$13K
Oct	\$13K	\$34K	(\$15K)	\$19K	\$32K
Nov	\$32K	\$19K	(\$15K)	\$4K	\$35K
Dec	\$35K	\$19K	(\$15K)	\$4K	\$39K
Jan	\$39K	\$19K	(\$15K)	\$4K	\$43K
Feb	\$43K	\$19K	(\$15K)	\$4K	\$46K
Mar	\$46K	\$19K	(\$15K)	\$4K	\$50K
Apr	\$50K	\$19K	(\$15K)	\$4K	\$54K
May	\$54K	\$19K	(\$391)	\$18K	\$72K
Jun	\$72K	\$417	(\$391)	\$25	\$72K

**Year 2
Monthly Cash
Flow
Summary**

Month	Beginning	Inflows	Outflows	Net Cash Flow	Ending
Jul	\$72K	\$8K	(\$19K)	\$-11K	\$61K
Aug	\$61K	\$25K	(\$19K)	\$7K	\$68K
Sep	\$68K	\$25K	(\$19K)	\$7K	\$74K
Oct	\$74K	\$35K	(\$19K)	\$17K	\$91K
Nov	\$91K	\$25K	(\$19K)	\$7K	\$98K
Dec	\$98K	\$25K	(\$19K)	\$7K	\$104K
Jan	\$104K	\$25K	(\$19K)	\$7K	\$111K
Feb	\$111K	\$25K	(\$19K)	\$7K	\$117K
Mar	\$117K	\$25K	(\$19K)	\$7K	\$124K
Apr	\$124K	\$25K	(\$19K)	\$7K	\$130K
May	\$130K	\$25K	(\$19K)	\$7K	\$137K
Jun	\$137K	\$542	(\$19K)	\$-18K	\$119K

**Year 3
Monthly Cash
Flow
Summary**

Month	Beginning	Inflows	Outflows	Net Cash Flow	Ending
Jul	\$119K	\$6K	(\$19K)	\$-14K	\$105K
Aug	\$105K	\$32K	(\$19K)	\$13K	\$118K
Sep	\$118K	\$32K	(\$19K)	\$13K	\$130K
Oct	\$130K	\$37K	(\$19K)	\$18K	\$148K
Nov	\$148K	\$32K	(\$19K)	\$13K	\$160K
Dec	\$160K	\$32K	(\$19K)	\$13K	\$173K
Jan	\$173K	\$32K	(\$19K)	\$13K	\$185K
Feb	\$185K	\$32K	(\$19K)	\$13K	\$198K
Mar	\$198K	\$32K	(\$19K)	\$13K	\$210K
Apr	\$210K	\$32K	(\$19K)	\$13K	\$223K
May	\$223K	\$32K	(\$19K)	\$13K	\$235K
Jun	\$235K	\$667	(\$19K)	\$-19K	\$217K

**Year 4
Monthly Cash
Flow
Summary**

Month	Beginning	Inflows	Outflows	Net Cash Flow	Ending
Jul	\$217K	\$5K	(\$20K)	\$-15K	\$201K
Aug	\$201K	\$38K	(\$20K)	\$18K	\$219K
Sep	\$219K	\$38K	(\$20K)	\$18K	\$237K
Oct	\$237K	\$38K	(\$20K)	\$18K	\$255K
Nov	\$255K	\$38K	(\$20K)	\$18K	\$273K
Dec	\$273K	\$38K	(\$20K)	\$18K	\$291K
Jan	\$291K	\$38K	(\$20K)	\$18K	\$309K
Feb	\$309K	\$38K	(\$20K)	\$18K	\$326K
Mar	\$326K	\$38K	(\$20K)	\$18K	\$344K
Apr	\$344K	\$38K	(\$20K)	\$18K	\$362K
May	\$362K	\$38K	(\$20K)	\$18K	\$380K
Jun	\$380K	\$771	(\$20K)	\$-19K	\$361K

**Year 5
Monthly Cash
Flow
Summary**

Month	Beginning	Inflows	Outflows	Net Cash Flow	Ending
Jul	\$361K	\$4K	(\$21K)	\$-17K	\$344K
Aug	\$344K	\$42K	(\$21K)	\$21K	\$365K
Sep	\$365K	\$42K	(\$21K)	\$21K	\$387K
Oct	\$387K	\$42K	(\$21K)	\$21K	\$408K
Nov	\$408K	\$42K	(\$21K)	\$21K	\$430K
Dec	\$430K	\$42K	(\$21K)	\$21K	\$451K
Jan	\$451K	\$42K	(\$21K)	\$21K	\$473K
Feb	\$473K	\$42K	(\$21K)	\$21K	\$494K
Mar	\$494K	\$42K	(\$21K)	\$21K	\$516K
Apr	\$516K	\$42K	(\$21K)	\$21K	\$537K
May	\$537K	\$42K	(\$21K)	\$21K	\$559K
Jun	\$559K	\$833	(\$21K)	\$-20K	\$539K

Lowest Cash Month by Year

Year	Month	Ending Cash
Year 1	Jul	\$5K
Year 2	Jul	\$61K
Year 3	Jul	\$105K
Year 4	Jul	\$201K
Year 5	Jul	\$344K

Debt Service Coverage

DSCR is above 1.25x, and your operating income comfortably covers debt payments. Current DSCR is 5.77x.
 Benchmark: Healthy minimum: 1.15x; target: 1.25x.

- [+] Debt Service Coverage Ratio (Year 1): 5.77x (benchmark: Healthy minimum: 1.15x; target: 1.25x)
- [-] Year 1 Reserve Months: 1.9 months (benchmark: Target: 3+ months)
- [-] Year 2 Reserve Months: 2.6 months (benchmark: Target: 3+ months)
- [+] Year 3 Reserve Months: 6.4 months (benchmark: Target: 3+ months)
- [+] Year 4 Reserve Months: 12.1 months (benchmark: Target: 3+ months)
- [+] Year 5 Reserve Months: 18.9 months (benchmark: Target: 3+ months)

DSCR Summary

Current DSCR: **5.77x**

Benchmark: **Healthy minimum: 1.15x; target: 1.25x**

Trend: **DSCR is above 1.25x, and your operating income comfortably covers debt payments.**

Operating Reserve & Ending Cash

Year	Ending Cash	Reserve Months	Status
Year 1 (trough)	\$34K	1.9 months	Below Target
Year 2	\$61K	2.6 months	Below Target
Year 3	\$136K	6.4 months	Adequate
Year 4	\$255K	12.1 months	Adequate
Year 5	\$406K	18.9 months	Adequate

Tightest cash year: Year 1 ends at \$34K.

Year-end unrestricted cash: \$406K

vs accrual: \$406K (no restricted gifts). Unrestricted is the headline DSCR + runway are computed off; restricted gifts can't legally fund operations or debt service.

Stress Testing

All 6 stress scenarios maintain positive Year 5 net income, indicating financial resilience.

Stress Test Results

Scenario	Y1 Net Income	Y5 Net Income	Break-Even	Reserve (mo)	Y1 DSCR	Runway (mo)
Enrollment 20% Below Plan	\$-5K	\$76K	Year 3	7.2	-0.06x	60+
Loss of Philanthropy	\$4K	\$148K	Year 1	16.5	1.78x	60+
Hard revenue only	\$4K	\$148K	Year 1	16.5	1.78x	60+
Occupancy +15%, Personnel +5%	\$14K	\$135K	Year 1	14.8	3.88x	60+
Revenue Delayed 3 Months	\$-16K	\$52K	Year 3	1.7	-2.46x	9
Interest Rate +2%	\$23K	\$151K	Year 1	19.0	5.59x	60+

Lender Readiness

Lender Readiness: Strong. This model demonstrates strong financial fundamentals: a clear path to profit, controlled costs, a sustainable revenue mix, and adequate debt coverage. Your projections are grounded and achievable.

[+] Readiness Level: Strong

Financial Health Assessment

Across 8 health dimensions: 5 healthy, 2 on watch, 1 at risk.

- [+] viability: Healthy
- [!] liquidity: Needs attention
- [+] staffing burden: Healthy
- [~] facility burden: Watch closely

[+] debt affordability: Healthy
 [+] revenue concentration: Healthy
 [-] days cash: Watch closely
 [+] reserve strength: Healthy

Health Dimensions

Dimension	Status	Details
Viability	Healthy	The model reaches profit early and sustains strong margins through Year 5.
Liquidity	Needs attention	Cash goes negative in month 1. The school will need outside funding to continue operating.
Staffing Burden	Healthy	Staffing at 52% of revenue leaves room for facilities, programs, and reserves.
Facility Burden	Watch closely	Facility costs at 17% of revenue are moderate but could become a constraint as other costs grow.
Debt Affordability	Healthy	DSCR of 5.77x provides comfortable coverage of debt payments with room to spare.
Revenue Concentration	Healthy	Revenue is anchored to enrollment-driven income — the strongest foundation for a school model. A focused revenue stream is a strength when backed by dependable demand.
Days Cash	Watch closely	57 days of cash on hand is above the minimum but below the 90-day target. A large unexpected cost could create a cash crunch.
Reserve Strength	Healthy	18.9 months of reserves by Year 5 — a strong buffer for unexpected costs.

Key Risks

4 risk factors have been identified. Of these, 1 is rated critical and should be addressed prior to lender submission.

- [!] Let's extend your cash runway: critical
- [+] Let's back the enrollment ramp with evidence: medium
- [+] Let's tie new hires to enrollment milestones: medium

CRITICAL

Let's extend your cash runway

An 18-month runway means a single late tuition cycle or delayed state disbursement isn't an emergency. Building the cushion now is far easier than rebuilding it after opening day.

Evidence: Cash runway: 1 months | Target: 18+ months

Mitigation: Build a cash buffer through startup fundraising, a line of credit, or by reducing early expenses. Target at least 18 months of runway before opening. Next step: Open Step 2: School Details and raise opening cash, or trim Year 1 expenses in Step 7, until projected cash runway clears 18 months.

HIGH

Liquidity

Cash goes negative in month 1. The school will need outside funding to continue operating.

Evidence: liquidity: Needs attention

Mitigation: Build operating reserves through fundraising, lines of credit, or phased expense deployment to maintain adequate cash position.

MEDIUM

Let's back the enrollment ramp with evidence

Enrollment is the engine of every revenue and staffing assumption downstream. The more evidence we can attach to each year's number, the more confident the rest of the model becomes.

Evidence: Year 1: 20 students | Year 2: 26 students | Year 3: 32 students | Year 4: 37 students | Year 5: 40 students | Capacity: 45

Mitigation: Back every enrollment target with documented demand — signed letters of intent, waitlist depth, community survey results, or recruitment pipeline data. Growth over 25% per year typically requires an exceptional recruitment engine or facility expansion. Next step: Open Step 4: Enrollment and either soften the steepest year to a 15-25% jump, or paste your waitlist count, signed letters of intent, and recruitment plan into the Story step so reviewers see the evidence.

MEDIUM

Let's tie new hires to enrollment milestones

Hiring slightly behind enrollment, rather than ahead of it, keeps fixed costs aligned with the revenue actually arriving. It also gives you a clean answer to 'what triggers each new role'.

Evidence: Year 2 enrollment: 26 students | Year 2 staffing cost: \$159,666

Mitigation: Align staffing additions to enrollment milestones. Hire when students are enrolled, not when you hope they will be. Use part-time or contract roles to bridge gaps. Next step: Open Step 6: Staffing and tie each new role's start date to a specific enrollment milestone (e.g. 'add when Y2 enrollment hits 60'), or push the role into a later year.

[!] Let's extend your cash runway: critical

[+] Let's back the enrollment ramp with evidence: medium

[+] Let's tie new hires to enrollment milestones: medium

See Appendix for complete assumption details.

Decision History

No decisions have been tracked with an outcome yet. As the team marks saved scenarios as Pursued, Declined, or On hold, those outcomes (and any retrospective notes) will appear here so reviewers can see what actually happened versus what was modeled.

Once decisions are saved with a Pursued / Declined / On hold outcome inside the planner, they will be summarized here.

Appendix: Key Assumptions

Complete list of 21 assumptions used in this financial model, with each headline metric tied to its driving assumptions.

Supporting Assumptions

— Assumption sources by headline metric —
(maps each key output to the assumptions and wizard step that drive it)

Year 1 revenue Year 1 enrollment: 20; Tuition per student: \$10,000; Tuition collection rate: 100.0%; Tuition escalation: 3.0%

Driven by inputs in: Enrollment, Revenue.

Year 1 total expenses Year 1 staffing cost: \$86,120; Year 1 facility cost: \$27,833; Year 1 operating expenses: \$16,167; Year 1 debt service: \$4,696; General cost inflation: 3.0%

Driven by inputs in: Staffing, Expenses, Capital & Financing.

Year 1 net income Year 1 enrollment: 20; Tuition per student: \$10,000; Year 1 staffing cost: \$86,120; Year 1 facility cost: \$27,833; Year 1 operating expenses: \$16,167

Driven by inputs in: Enrollment, Revenue, Staffing, Expenses.

Year 1 operating surplus Year 1 enrollment: 20; Tuition per student: \$10,000; Year 1 staffing cost: \$86,120; Year 1 facility cost: \$27,833; Year 1 operating expenses: \$16,167

Driven by inputs in: Enrollment, Revenue, Staffing, Expenses.

Debt service coverage (DSCR) Loan principal: \$20,000; Loan interest rate: 6.5%; Loan term: 5 yr; Year 1 debt service: \$4,696; Year 1 staffing cost: \$86,120

Driven by inputs in: Capital & Financing, Staffing.

Cash reserve (months) Starting cash: \$12,000; Year 1 operating expenses: \$16,167; Year 1 staffing cost: \$86,120; Tuition collection rate: 100.0%

Driven by inputs in: Assumptions & Sensitivity, Expenses, Staffing, Revenue.

Year 1 ending cash **Starting cash: \$12,000;**
Year 1 enrollment: 20; Tuition per student:
\$10,000; Year 1 staffing cost: \$86,120; Year 1
debt service: \$4,696

Driven by inputs in: Assumptions & Sensitivity, Enrollment, Revenue, Staffing, Capital & Financing.

Year 5 ending cash **Starting cash: \$12,000;**
Year 5 enrollment: 40; Retention rate: 88.0%;
Tuition escalation: 3.0%; Annual salary
increase: 3.0%

Driven by inputs in: Assumptions & Sensitivity, Enrollment, Revenue, Staffing.

Break-even year **Year 1 enrollment: 20; Year 5**
enrollment: 40; Tuition per student: \$10,000;
Year 1 staffing cost: \$86,120; Year 1 facility
cost: \$27,833

Driven by inputs in: Enrollment, Revenue, Staffing, Expenses.

... and 21 more (see Appendix)

Break-Even & Downside Sensitivity

Break-even student counts assume current revenue and cost mix. Utilization compares break-even to the stated max capacity of 45 students.

Per-Year Break-Even

Year 1 (planned 20): **17 students · 38% of capacity**
Year 2 (planned 26): **23 students · 51% of capacity**
Year 3 (planned 32): **24 students · 53% of capacity**
Year 4 (planned 37): **24 students · 53% of capacity**
Year 5 (planned 40): **24 students · 53% of capacity**

Downside Enrollment Band

If 10% fewer students enroll

Year 1 (18 students): **DSCR 2.90x · Ending cash \$20,928**
Year 2 (23 students): **DSCR 1.41x · Ending cash \$22,872**
Year 3 (29 students): **DSCR 11.51x · Ending cash \$72,204**
Year 4 (33 students): **DSCR 18.78x · Ending cash \$155,693**
Year 5 (36 students): **DSCR 25.34x · Ending cash \$269,983**

If 20% fewer students enroll

Year 1 (16 students): **DSCR N/A · Ending cash \$7,031**
Year 2 (21 students): **DSCR 0.61x · Ending cash \$5,200**
Year 3 (26 students): **DSCR 5.86x · Ending cash \$28,003**
Year 4 (30 students): **DSCR 12.92x · Ending cash \$83,997**
Year 5 (32 students): **DSCR 17.29x · Ending cash \$160,481**

Enrollment × Tuition Sensitivity (Yr 1 DSCR / Yr 5 ending cash)

Each cell re-runs the canonical engine with the row's enrollment delta and the column's tuition delta applied together. Cells shaded green clear the 1.25x DSCR benchmark; amber sit between 1.15x–1.25x; red are below 1.15x.

Enrollment ! ⁶ / Tuition ! ⁷	-5% tuition	0% tuition	+5% tuition	+10% tuition
-20% enroll	4.10x \$336,115	5.86x \$410,495	7.62x \$484,875	9.39x \$559,255
-15% enroll	4.10x \$336,115	5.86x \$410,495	7.62x \$484,875	9.39x \$559,255
-10% enroll	4.10x \$336,115	5.86x \$410,495	7.62x \$484,875	9.39x \$559,255
-5% enroll	4.10x \$336,115	5.86x \$410,495	7.62x \$484,875	9.39x \$559,255
0% enroll	4.10x \$336,115	5.86x \$410,495	7.62x \$484,875	9.39x \$559,255
+5% enroll	4.10x \$336,115	5.86x \$410,495	7.62x \$484,875	9.39x \$559,255
+10% enroll	4.10x \$336,115	5.86x \$410,495	7.62x \$484,875	9.39x \$559,255

Standard Lender Stress Tests

Five fixed downside scenarios re-run against the canonical model. Each row shows the worst-year DSCR, ending-cash trough, and Year-1 net-income delta vs base. Identical figures appear on the founder dashboard and in the lender pro-forma workbook.

Base case: **Min DSCR 5.86x · Min ending cash**
\$34,826 · Runway 60.0 mo

Enrollment -10%

All five enrollment years scaled down by 10% — the standard lender enrollment-miss sensitivity.

Min DSCR: 1.41x · Min ending cash: \$20,928 · Runway: 60.0 mo · Break-even: Year 1
Year-1 net income vs base: -\$13,898

Enrollment -20%

All five enrollment years scaled down by 20% — the stretch downside lenders use to confirm the school can survive a soft-launch.

Min DSCR: -0.06x · Min ending cash: \$5,200 · Runway: 60.0 mo · Break-even: Year 3 (+2y vs base)
Year-1 net income vs base: -\$27,795

ESA / Public Funding Delayed 3 Months

Year-1 ESA, school-choice, and public-funding receipts reduced by 25% ("H 3 months delayed") to simulate a slow first disbursement.

Min DSCR: 5.86x · Min ending cash: \$34,826 · Runway: 60.0 mo · Break-even: Year 1
Year-1 net income vs base: +\$0

Rent Shock +25%

Occupancy & facility expense rows escalated by 25% — covers a lease renewal, market-rate reset, or unbudgeted CAM/utilities surprise.

Min DSCR: 4.38x · Min ending cash: \$27,867 · Runway: 60.0 mo · Break-even: Year 1
Year-1 net income vs base: -\$6,958

Founder Comp Normalized to Market

Founder compensation re-cast at the market-rate benchmark (with benefits + payroll tax). The lender / board view of true operating cost.

Min DSCR: 3.11x · Min ending cash: \$34,826 · Runway: 60.0 mo · Break-even: Year 1
Year-1 net income vs base: -\$12,918

Founder Compensation

Per-year founder pay shown two ways: as planned (what the founder draws) and at market rate (what a comparable hire would cost). The lender adjustment is the gap underwriters apply to staffing cost and DSCR.

Line	Y1	Y2	Y3	Y4	Y5
As planned (reported)	\$58,000	\$59,740	\$61,532	\$63,378	\$65,280
Fully-loaded (incl. benefits + payroll tax)	\$62,437	\$64,310	\$66,239	\$68,226	\$70,274
Market rate (normalized)	\$70,000	\$72,000	\$74,000	\$76,000	\$79,000
Fully-loaded (incl. benefits + payroll tax)	\$75,355	\$77,508	\$79,661	\$81,814	\$85,044
Lender adjustment (market - planned)	\$12,918	\$13,198	\$13,422	\$13,588	\$14,770

Note: Founder is paying themselves below market rate ("sweat equity"). Lenders and boards underwrite to the market-rate line; the adjustment shows the gap.